

Sector Underwriting Note: IT Services

Ashva Capital IT Services SME Lending Policy

Note: This policy applies to all Ashva Capital underwriters assessing IT Services SME loan applications.

1. Working Capital Cycle:

The typical working capital cycle for IT Services SMEs under Ashva Capital's portfolio averages 60-90 days, primarily due to long sales cycles and variable client payment schedules.

2. DSCR Floor:

The minimum Debt Service Coverage Ratio (DSCR) for IT Services SMEs is 1.50x, exceeding the standard 1.25x DSCR floor. This higher requirement reflects the sector's high operational leverage and potential for revenue volatility.

3. Seasonality Adjustments:

IT Services SMEs are subject to seasonal fluctuations in revenue, primarily driven by peak demand during quarterly budgeting cycles and software updates. Ashva Capital will apply a 10% discount to DSCR calculations during the months of January, April, July, and October to account for these seasonal variations.

4. Distress Causes:

The two most common causes of distress in the IT Services sector are:

- a. Revenue concentration: IT Services SMEs often rely heavily on a few key clients, which can lead to revenue volatility and decreased DSCR.
- b. IT infrastructure obsolescence: Failure to adapt to emerging technologies can render services obsolete, negatively impacting revenue and cash flow.

5. Collateral:

Acceptable collateral types for IT Services SME loans include:

- a. Invoices and accounts receivable
- b. Equipment and IT infrastructure (subject to appraisal)
- c. Leasehold improvements and office equipment

6. Maximum Exposure:

Ashva Capital's maximum exposure to IT Services SMEs as a percentage of book is 8%.

Numeric Thresholds:

- 1. Revenue diversification threshold: 30% of total revenue from any single client will be considered high-risk. Loans with a revenue concentration ratio above 30% will require additional review and approval.
- 2. DSCR trigger: A DSCR below 1.30x will trigger a review of the loan's creditworthiness, potential cash flow issues, and the lender's risk exposure.
- 3. Growth rate threshold: Ashva Capital will not consider loans with projected growth rates exceeding

25% per annum, as excessive growth can lead to cash flow challenges and increased risk exposure.

4. Cash balance threshold: At least 30 days' worth of operating expenses must be held in liquid accounts to ensure sufficient liquidity management.

Approval:

All loan applications meeting the above requirements will be subject to review and approval by the Lead Credit Officer. Exceptions to this policy must be explicitly authorized by the Chief Credit Officer.